

meant that something about “rational expectation” did not work. (Prices did not rationally reflect the long-term value of securities by overshooting in either direction.) Markets had to be wrong. Shiller then pronounced markets to be not as efficient as established by financial theory (efficient markets meant, in a nutshell, that prices should adapt to all available information in such a way as to be totally unpredictable to us humans and prevent people from deriving profits). This conclusion set off calls by the religious orders of high finance for the destruction of the infidel who committed such apostasy. Interestingly, and by some strange coincidence, it is that very same Shiller that was trounced by George Will only one chapter ago.

The principal criticism against Shiller came from Robert C. Merton. The attacks were purely on methodological grounds (Shiller's analysis was extremely rough; for instance, his using dividends in place of earnings was rather weak). Merton was also defending the official financial theory position that markets needed to be efficient and could not possibly deliver opportunities on a silver plate. Yet the same Robert C. Merton later introduced himself as the “founding partner” of a hedge fund that aimed at taking advantage of market inefficiencies. Setting aside the fact that Merton's hedge fund blew up rather spectacularly from the *black swan problem* (with characteristic denial), his “founding” such a hedge fund requires, by implication, that he agrees with Shiller about the inefficiency of the market. The defender of the dogmas of modern finance and efficient markets started a fund that took advantage of market inefficiencies! It is as if the Pope converted to Islam.

Things are not getting any better these days. At the time of writing, news providers are offering all manner of updates, “breaking news” that can be delivered electronically in a wireless manner. The ratio of undistilled information to distilled is rising, saturating markets. The elder's messages need not be delivered to you as imminent news.

This does not mean that all journalists are fooled by randomness noise providers: there are hordes of thoughtful journalists in the business (I would suggest London's Anatole Kaletsky and New York's Jim Grant and Alan Abelson as the underrated representatives of such a class among financial journalists; Gary Stix among scientific journalists); it is just that prominent media journalism is a thoughtless process of providing the noise that can capture people's attention and there exists

no mechanism for separating the two. As a matter of fact smart journalists are often penalized. Like the lawyer in Chapter 11 who does not care about the truth, but about arguments that can sway a jury whose intellectual defects he knows intimately, journalism goes to what can capture our attention, with adequate sound-bites. Again my scholarly friends would wonder why I am getting emotional stating the obvious things about the journalists; the problem with my profession is that we depend on them for what information we need to obtain.

GERONTOCRACY

A preference for distilled thinking implies favoring old investors and traders, that is investors who have been exposed to markets the longest, a matter that is counter to the common Wall Street practice of preferring those that have been the most profitable, and preferring the younger whenever possible. I toyed with Monte Carlo simulations of heterogeneous populations of traders under a variety of regimes (closely resembling historical ones), and found a significant advantage in selecting aged traders, using, as a selection criterion their cumulative years of experience rather than their absolute success (conditional on their having survived without blowing up). “Survival of the fittest”, a term so hackneyed in the investment media, does not seem to be properly understood: under regime switching, as we will see in Chapter 5, it will be unclear who is actually the fittest, and those who will survive are not necessarily those who appear to be the fittest. Curiously, it will be the oldest, simply because older people have been exposed longer to the rare event and can be, convincingly, more resistant to it. I was amused to discover a similar evolutionary argument in mate selection that considers that women prefer (on balance) to mate with healthy older men over healthy younger ones, everything else being equal, as the former provide some evidence of better genes. Gray hair signals an enhanced ability to survive – conditional on having reached the gray hair stage, he is likely to be more resistant to the vagaries of life. Curiously, life insurers in renaissance Italy reached the same conclusion, by charging the same insurance for a man in his 20s as they did for a man in his 50s, a sign that they had the same life expectation; once a